

Auditors

“Auditors are completely misunderstood,” Block said. Again, they represent the interest of their clients — the people who pay them. I’m reminded of the old saying “Whose bread I eat, his song I sing.”

Block talked about how it is a profession that rewards failure. Negative audits often lead to lifetime employment because the firm is fearful of being sued and wants the auditor around to help get it out of any messes.

Further, Block said, accounting is “a profession fighting against accountability and transparency. They [the big auditing firms] fight disclosures repeatedly. They do not want to provide investors with a better window into audits.”

He also reminded us that audits are not “clean bills of health” and do not detect fraud. In fact, he said, in the Sino-Forest case, Ernst & Young (the auditor) was Sino-Forest’s best friend. He shared a disclosure E&Y wrote: “The majority of the accounts receivable arising from sales of standing timber are realized through instructing the debtors to settle the amounts payable on standing timber and other liabilities denominated in Renminbi.”

Can you make heads or tails of that?

Block translated it thusly: it means the company never collected the cash. Put another way, “95%+ of the company’s reported gross profit in 16 years of being public never went into the company’s bank accounts!!!”

Messy, indecipherable disclosures are clues to stay away.

Investment Banks

Obviously, the investment banks have an incentive to sell financial products — stocks, bonds, and so on. They are not looking out for your interest.

If you don’t know this by now, here it is: don’t look to research put out by investment banks or brokerage houses as a source of advice on where you should invest.

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